INFLATION REPORT

2026-III

August 13, 2026



TÜRKİYE CUMHURİYET
MERKEZ BANKASI

Contents

1. Overview 1

1.1 Monetary Policy Decisions 3

2. Economic Outlook 5

2.1 Global Economy 5

2.2 Financial Conditions 11

2.3 Economic Activity 15

2.4 Inflation 26

3. Medium-Term Projections 51

3.1 Current State, Short-Term Outlook and Assumptions 51

3.2 Medium-Term Outlook 53

3.3 Key Risks to Inflation Forecasts and Possible Impact Channels 55

Boxes

Box 2.1 The Effect of Monetary Policy on Card Spending **37**

Box 2.2 Findings from Interviews with Firms **40**

Box 2.3 The Effect of Economic Activity on Firm Entry: Quantity or Quality? **44**

Box 2.4 Supply and Cost Dynamics in Food Inflation **48**

Box 3.1 Transmission of Upward Cost Surprises to Firms' Expectations: Demand Conditions and the Disinflation Period **59**

1. Overview

Uncertainties regarding the global economic outlook persist, while the news flow concerning the US-Israel war on Iran is constantly evolving. Following the agreement on a ceasefire in June, vessel traffic through the Strait of Hormuz picked up, and crude oil prices retreated to pre-war levels. However, as tensions in the region escalated again in July, prices climbed back, and shipping activity declined. Currently, energy prices stand markedly above pre-war levels. While input costs declined slightly in June, disruptions in supply chains improved only to a limited extent. In July, this picture appears to have reversed. Therefore, when compared to the pre-war period, supply-side constraints are still present. Accordingly, the global growth outlook remains weak and fragile. The continued rise in realized and expected inflation in many countries has also heightened expectations of tighter monetary policy globally. Should the period of uncertainty be prolonged and the increase in energy prices become more persistent, further monetary tightening on a global scale might be necessary to anchor expectations and contain secondary effects.

The ceasefire talks between the US-Israel war on Iran led to reduced volatility in financial markets, yet geopolitical uncertainties remain. Compared to the previous reporting period, Türkiye's CDS premium receded broadly in line with emerging market risk premiums and stood at 225 basis points as of August 10. The implied volatility of the Turkish lira declined during the current reporting period. The CBRT gross international reserves fell by USD 1.0 billion to USD 164.5 billion, also driven by the decline in gold prices. Following a decrease at the start of the current reporting period amid reduced geopolitical risks, yields on government domestic debt securities (GDDS) increased across all maturities due to the recent rise in war-related uncertainties and potential risks to inflation.

During the current reporting period, financial conditions remained tight in line with the CBRT's decisions to support tight monetary policy in response to geopolitical developments. Following the decision on March 1 to suspend one-week repo auctions for a period in light of the developments in financial markets, overnight interest rates continue to hover very close to the upper bound of the CBRT's interest rate corridor. The CBRT made changes in the reserve requirement practice based on loan growth to support the tight monetary policy stance and strengthen macro-financial stability. Tight financial conditions are reflected in deposit and loan rates. Deposit and loan rates are broadly close to those recorded at the end of the previous reporting period. During the current reporting period, the share of Turkish lira deposits reached 62%, even amid geopolitical uncertainties, also due to the tight monetary policy stance. Meanwhile, the annualized 13-week growth of FX-adjusted total loans edged down.

In the first quarter of 2026, annual and quarterly growth rates continued to decline, with economic activity growing below its potential. In the first quarter, GDP increased by 2.5% year-on-year and by 0.1% quarter-on-quarter. The positive contribution of private consumption and total investments to annual growth decreased slightly. On a quarterly basis, private consumption posted a limited rise, while total investments declined. In that period, there was also a decline in both imports and exports of goods and services. Accordingly, net exports kept making a negative contribution to quarterly growth, albeit to a lesser extent. Against this backdrop, economic activity continued to lose pace in the first quarter, registering growth below its potential.

Indicators for the second quarter of 2026 suggest a moderate course of economic activity and stronger support from domestic demand conditions for the disinflation process. In that period, growth in retail sales excluding gold slowed compared with the previous quarter, and sales remained below their long-term trend. White goods sales went up in the second quarter but still failed to offset the first quarter's decline. The drop in automobile sales in the first quarter continued in the second quarter and into July. Card spending declined in the second quarter. Data for July indicate a continued weak course of card spending. Findings from interviews with firms regarding consumption expenditures also suggest that domestic sales remained weak in July. On the production side, industrial production went up in the second quarter. Excluding typically volatile sectors, industrial production still increased, albeit falling slightly behind the rise in the headline index. Survey-based indicators such as the Business Tendency Survey (BTS) and the PMI pointed to an increase in July. As of May, the services production index remained nearly flat in the second quarter of the year. The quarterly and annual growth rates of the construction production index were negative during the same period.

The labor market is less tight than implied by the headline unemployment rate. Based on the quarterly averages of seasonally adjusted monthly data, employment increased by 155 thousand people in the second quarter of the year, standing at 32.5 million people. During this period, the seasonally adjusted unemployment rate dropped by 0.3 percentage points on a quarterly basis to 7.9%, and the labor force participation rate remained nearly flat. Although it remained high, the labor underutilization rate declined by 0.2 percentage points compared to the first quarter. In the first quarter of 2026, as a result of the rise in real per capita wages outpacing the increase in labor productivity, non-farm real unit wages went up.

The seasonally and calendar-adjusted current account deficit decreased in the second quarter of 2026. As of May, the current account deficit narrowed in the second quarter due to the decline in the foreign trade deficit as defined by the balance of payments. The services balance surplus and the improvement in the income balance also contributed positively to the current account balance during this period. In the second quarter of the year, external demand was stronger compared to the previous quarter despite the adverse effects of the war, and export prices continued to rise. According to the foreign trade statistics published by TURKSTAT, seasonally and calendar-adjusted exports increased in the second quarter compared to the previous quarter. The increase in exports is assessed to be due to a shift in some demand toward Türkiye, driven by geopolitical developments and higher logistics costs. Meanwhile, imports increased due to rising energy imports, fueled by the sharp rise in energy prices triggered by the war. The slowdown in gold imports amid falling gold prices in the second quarter and the flat trend in imports excluding gold and energy limited the increase in total imports. As for goods groups, imports of investment and consumption goods declined in the second quarter compared to the previous quarter, while those of intermediate goods increased. Provisional foreign trade statistics pointed to a decline in both exports and imports in July, with the decrease being more pronounced in imports. Accordingly, the foreign trade deficit in July remained below the second-quarter average. The main factor that will keep upward risks to the current account deficit alive in the coming period is assessed to be a potential increase in net energy imports due to high and volatile energy prices, although these prices declined somewhat compared to the previous reporting period. On the financing side, capital inflows were recorded in the second quarter, as of May. A significant portion of these inflows were through the other investments item. Data for July point to continued portfolio inflows, particularly into GDDS, despite recent geopolitical developments.

Consumer inflation stood at 31.75% in July, above the forecast presented in the previous Report. Developments across subitems over the last three months indicate that the energy and alcohol-tobacco-gold groups made a downward contribution to annual consumer inflation while the other subcategories made an upward contribution. During the current reporting period, supply-side pressures weakened somewhat compared to the previous period but slowed the disinflation process. Despite declining in June, led by energy prices, international commodity prices rebounded in July as geopolitical uncertainties escalated. Meanwhile, agricultural commodity prices fluctuated due to supply concerns, geopolitical developments, and unfavorable weather conditions, and rose compared to the previous reporting period. While the fact that the lump-sum tax adjustment implied by the six-month D-PPI increase in fuel prices was not implemented in July limited price increases, crude oil prices, which resumed an upward trend, and the effects of the gradual phase-out strategy from the sliding scale system created pressure on inflation. In the current reporting period, geopolitical developments as well as administered prices and tax adjustments had a prominent impact on headline inflation. On the administered prices front, the revision in medical examination copayments under the Communiqué on Healthcare Implementation added 0.22 points to monthly consumer inflation in July. As of that month, the annual rate of inflation in the F index, calculated excluding administered prices, remained lower than headline inflation, at 30.37%. As for tax adjustments, prices of alcoholic beverages posted an increase in July due in part to the lump-sum tax revision. The lump-sum tax on tobacco products was raised while the ad valorem SCT was reduced, the upward effect of which is being observed on inflation in August. The Global Supply Chain Pressure Index remained above its historical average despite falling over the past two months, while the delivery times displayed a normalization tendency starting from May. The stable course of the Turkish lira throughout the reporting period alleviated cost pressures. Accordingly, increases in producer prices lost momentum over the last two months, and annual producer inflation declined to 27.83%. Second-quarter data suggest that demand conditions remain supportive of disinflation. Inflation expectations, however, continue to hover above the inflation forecast and the interim target. The effects of geopolitical developments on the inflation outlook through the cost channel, economic activity, and the expectation channel continue to be closely monitored.

The interim inflation targets have been maintained at 24%, 15%, and 9% for 2026, 2027, and 2028, respectively. The CBRT will ensure the tightness required by the projected disinflation path in line with the interim targets, by taking into account realized and expected inflation and its underlying trend.

Inflation is forecast to be 28% at end-2026 and 15% at end-2027. Inflation is projected to decline to 9% at end-2028 and then stabilize around the medium-term inflation target of 5%. The upward revision of the year-end inflation forecast for 2026 was driven by the increase in the assumption for TRY-denominated import prices in view of the developments in prices of diesel oil, natural gas, and some other commodities. The impact of the regulations relating to the sliding-scale system was also factored into the forecasts. Besides, the upward revision in the food inflation assumption based on actual data, as well as regulations regarding administered prices also pushed the inflation forecast up. The path for the output gap for 2026 was revised slightly upward compared to the previous reporting period. Despite this revision, the gap remains at a level that maintains disinflation. Domestic demand is expected to stay weak in the coming period as the tight financial conditions will be maintained.

Medium-term forecasts are based on a framework in which the tight monetary policy stance will be maintained decisively until price stability is achieved, and the coordination among economic policies will be sustained. In order to contain the risks to the inflation outlook posed by geopolitical developments, the weighted average funding cost was kept at 40%, and monetary tightness was supported by macroprudential policies. The forecasts are based on a framework where monetary policy is determined prudently with a focus on the inflation outlook, considering interim targets. The underlying rate of inflation has declined recently after rising due to supply shocks, and this decline is expected to continue in the period ahead as the tight monetary stance will underpin the improvement in expectations and pricing behavior. Moreover, the fall in services inflation is projected to become more evident once the inertia weakens in services items that display a strong backward-indexation tendency, such as rent and education in particular. However, energy prices remain a significant factor of uncertainty in terms of the inflation outlook. The high volatility in energy prices caused by geopolitical developments and the course of the sliding-scale system will be significant in determining the extent to which international oil price changes pass through to inflation.

1.1 Monetary Policy Decisions

The CBRT kept the policy rate constant at 37% in June and July. At the June meeting, the CBRT reported that the underlying trend of inflation decreased slightly in May following its rise in the first months of the year. The CBRT stated that the first-quarter data pointed to slowdown in economic activity whereas the leading indicators suggested ongoing weakening in domestic demand. Nevertheless, it was also highlighted that energy prices continued to remain volatile and elevated due to the uncertainties resulting from geopolitical developments. At the July meeting, the CBRT stated that the weak course in domestic demand became more pronounced. The CBRT also emphasized that as a result of the growing uncertainty amid geopolitical developments, energy prices started trending up again. Underlining that the impact of geopolitical developments on the inflation outlook through the cost channel and economic activity were closely monitored, the CBRT kept the policy rate at 37 percent both in June and July.

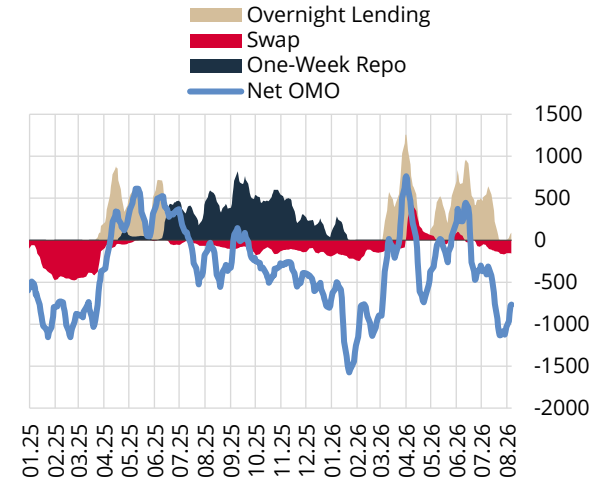
The CBRT introduced changes to loan growth-based reserve requirement regulations to strengthen macro-financial stability. With the amendment dated May 23, 2026, loan growth limits were tightened to be effective as of July 17, 2026. Accordingly, the monthly growth limits were reduced from 4% to 3% for vehicle and general-purpose loans, from 2% to 1% for overdraft account limits, from 5% to 4.5% for Turkish lira loans extended to SMEs, and from 3% to 2% for Turkish lira loans extended to large firms. Moreover, restructured loans and reimbursed non-cash loans were included in the loan growth calculation. Also, the reserve requirement reduction amount for banks with total assets above TRY 2 trillion was raised from TRY 500 million to TRY 2 billion.

The CBRT took simplification steps regarding foreign currency reserve requirements to strengthen macro-financial stability and support the monetary transmission mechanism. The additional Turkish lira reserve requirement ratio for FX deposits/participation funds, which was introduced in 2023 and applied at 2.5%, was terminated. In addition, foreign currency deposits/participation funds' reserve requirement ratios applied to demand deposits and deposits with maturities up to 1 month and with longer maturities at different levels were increased by 2 percentage points to 32 percent and 28 percent, respectively.

During the current reporting period, market liquidity fluctuated, and a temporary liquidity shortage emerged in the system for a while. Market liquidity fluctuated mainly due to the CBRT's foreign exchange operations, the course of the Ministry of Treasury and Finance's TRY account balance, and TRY required reserve management of banks. In the May 7-May 22 period, a temporary liquidity shortage in the system reemerged on the back of banks' raised required reserve balances and the CBRT's foreign exchange operations. In June, owing to the CBRT's foreign exchange purchases, the system's funding need declined, and as of June 17, the system had excess liquidity again. In the subsequent period, the remuneration of TRY required reserves and the CBRT's foreign exchange operations brought about a higher excess liquidity in the market (Chart 1.1.1). In the current reporting period, the amount of Turkish lira funding provided via the swap channel reached the highest level of USD 3.7 billion on May 26, before decreasing in line with the funding need and hitting zero on August 5.

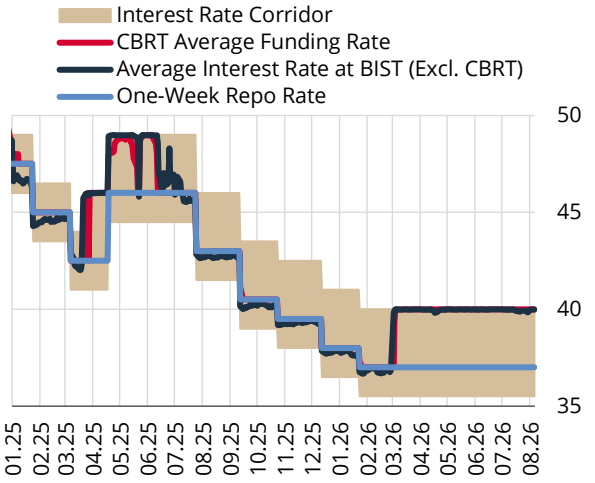
Throughout the current reporting period, the funding need of the system and sterilization operations were provided at the CBRT's overnight lending rate. The CBRT has not held one-week repo auctions since March 2, and the weighted average funding rate has materialized at the CBRT's overnight lending rate. In the current reporting period, as funding and sterilization operations were carried out at the overnight lending rate rather than the CBRT's policy rate, the overnight interest rates in the market hovered close to the upper bound of the CBRT's interest rate corridor (Chart 1.1.2). Excess liquidity is mostly sterilized via overnight Turkish lira deposit buying auctions. In this period, one-week reverse swap auctions against gold continued to be held for sterilization purposes. The amount of sterilization through deposit buying auctions with one-week maturity has also been on the increase since mid-June.

Chart 1.1.1: CBRT OMO and Swap Transactions
(One-Week Moving Average, TRY Billion)



Source: CBRT.

Chart 1.1.2: CBRT Interest Rates and Short-Term Interest Rates (%)



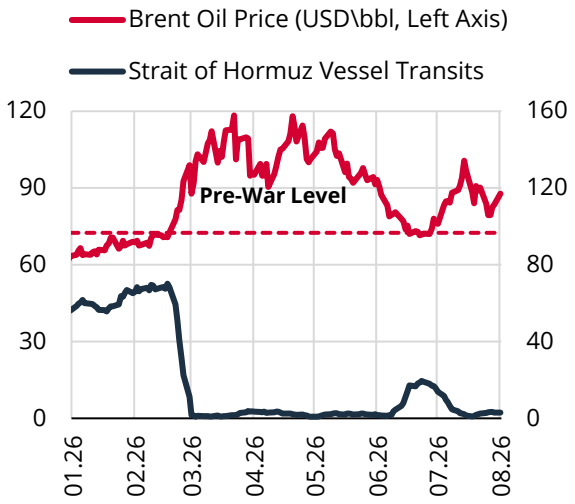
Source: BIST, CBRT.

Economic Outlook

2.1 Global Economy

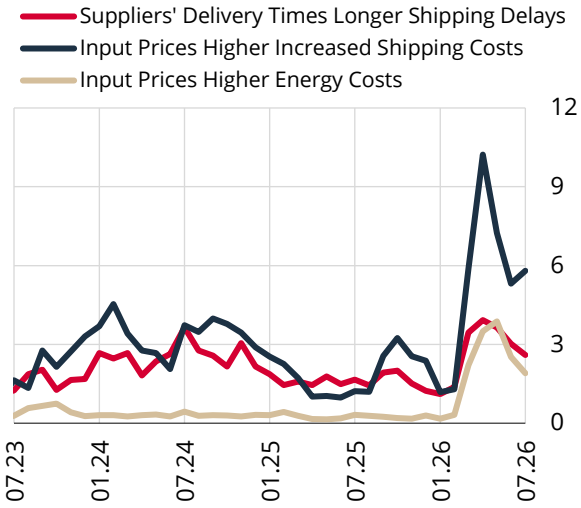
Uncertainties regarding the global economic outlook persist, while the news flow concerning the US-Israel war on Iran is constantly evolving. Following the agreement on a ceasefire in June, vessel traffic through the Strait of Hormuz picked up, and crude oil prices retreated to pre-war levels. However, as tensions in the region escalated again in July, prices climbed back, and shipping activity declined (Chart 2.1.1). The effects of the war can best be observed through shipping times and costs, as well as increases in input prices driven by energy prices. While survey indicators regarding freight-related supply constraints and input prices showed a limited improvement in June, the negative trend persists compared to the pre-war period (Chart 2.1.2). The recent resurgence of tensions in the Red Sea also poses a risk of further increasing costs and supply constraints.

Chart 2.1.1: Oil Prices and Vessel Traffic Through the Strait of Hormuz*



Source: Bloomberg.
* As of July 31, 2026.

Chart 2.1.2: PMI Comment Trackers*



Source: S&P Global.
* As of July 2026. The indices are compiled by monitoring the comments made in the PMI surveys and are normalized by equalizing the long-term average to one.

Volatility and high levels in energy prices persist due to the uncertainty caused by the war. The price of Brent oil per barrel decreased by 16.1% compared to the publication date of the previous Report but increased by nearly 30% in annual terms compared to the average of the publication month of the Report. After falling below USD 70 at the beginning of July, prices went up again due to the collapse of the ceasefire, and upside risks have intensified. Moreover, the rise in diesel refinery margins driven by geopolitical developments has negatively impacted import prices. TTF (Title Transfer Facility) natural gas prices, which are indicative for Europe, also showed a very strong upward trend. The course of the war, current and future damage to the energy infrastructure, and the extent and duration of the disruptions in energy transportation will continue to influence prices. As for non-energy commodity prices, prices have declined across the board, except for agricultural commodities. Compared to the publication date of the previous Report, precious metal prices fell by 8.5% and industrial metal prices by 3.3%, while agricultural commodity prices rose by 2.1% (Table 2.1.1).

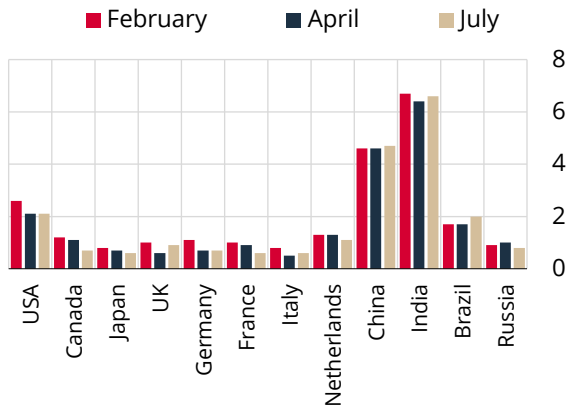
Table 2.1.1: Commodity Prices (%)

	May 2026	June 2026	July 2026	August 2026	Annual	Over the Previous Reporting Period*
Headline	1.2	-10.5	0.1	0.6	23.2	-7.4
Energy	1.2	-15.2	0.9	-0.1	31.0	-9.9
Agriculture	3.2	-6.4	8.1	0.6	10.2	2.1
Industrial Metal	3.5	-2.2	-3.4	3.4	32.7	-3.3
Precious Metal	-2.0	-8.6	-4.2	4.0	28.0	-8.5
Non-Energy	1.1	-4.6	-0.8	1.3	15.5	-4.4
Brent Oil	-11.7	-20.9	-2.3	6.2	29.9	-16.1
Natural Gas (USA)	9.3	9.1	-7.8	-8.2	-6.3	-3.5
Natural Gas (Europe)	4.4	-4.8	20.0	4.4	72.6	27.6
Coal	-1.8	9.2	-10.2	-0.1	15.4	-1.1
Aluminum	1.8	-5.9	-8.2	3.2	25.3	-11.4
Copper	6.3	1.1	-1.0	5.8	49.0	0.7
Iron	2.8	-7.8	-2.8	-4.1	-7.2	-14.8
Wheat	5.7	-7.1	9.3	-0.7	25.9	-1.0
Soy	2.3	-5.7	6.0	-3.0	15.1	-1.4
Rice	13.0	0.9	8.7	4.0	14.9	13.0
Corn	2.0	-9.4	6.1	-0.6	14.9	-2.9
Cotton	8.5	-8.9	5.0	5.6	24.7	-1.5
Sugar	4.8	-5.8	6.5	5.5	-4.7	9.9

Source: Bloomberg.
* Percentage change in prices between May 14, 2026 and August 10, 2026. Red and green colors indicate increases and decreases in prices, respectively. Figures in the table are calculated using the averages of daily closing prices for the relevant period.

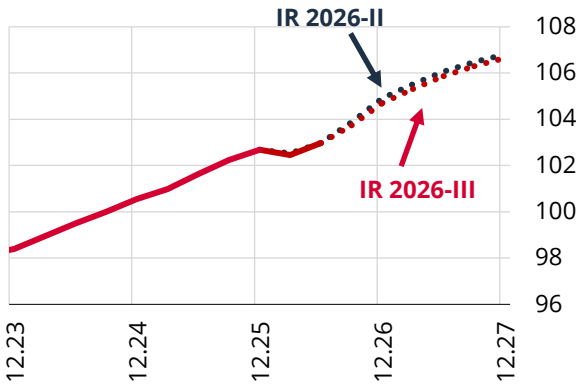
The global growth outlook remained weak and fragile. Growth projections for 2026, which were revised downwards after the onset of the war, have remained at low levels in many countries. However, the magnitude and nature of the impacts on growth projections may vary across countries (Chart 2.1.3). The global supply shock caused by energy prices and supply constraints has continued to affect the growth outlook negatively. While the likelihood of the war and the war-related uncertainties to extend over a longer time has grown stronger in the recent period, risks to global economic activity tend to be on the downside. On the other hand, investments in artificial intelligence and technology are contributing positively to global growth and are mitigating the negative effects of geopolitical developments to some extent. However, these investments could affect the future global growth outlook either way, i.e. while they could lead to productivity gains beyond expectations, excessive pricing in financial markets seems possible as well (Zoom-In 2.1). Against this backdrop, the change in Türkiye's external demand outlook was limited compared to the previous reporting period. The Export-Weighted Global Growth (EWGG) Index is estimated to grow by 1.6% in 2026, down by 0.1 points compared to the previous reporting period. The index is expected to recover somewhat in 2027, due in part to the base effects, and increase by 2.5% (Chart 2.1.4).

Chart 2.1.3: 2026 Growth Forecasts (%)



Source: CBRT, Consensus Economics, S&P Global.

Chart 2.1.4: EWGG Index* (September 2024=100)

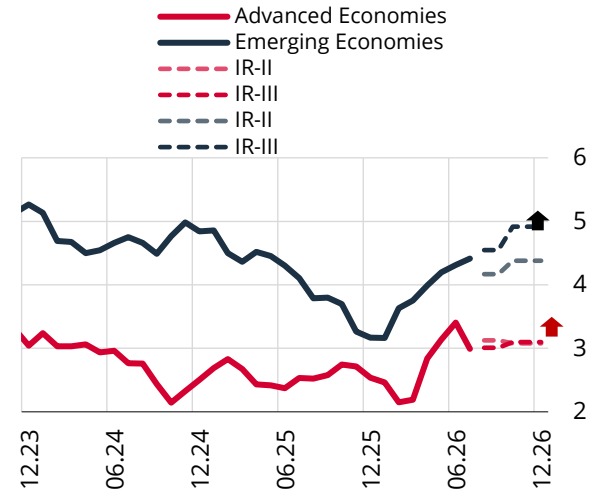


Source: CBRT, Consensus Economics, S&P Global.

* The EWGG Index is calculated by weighting the growth rates and forecasts of Türkiye's trading partners by their respective shares in exports.

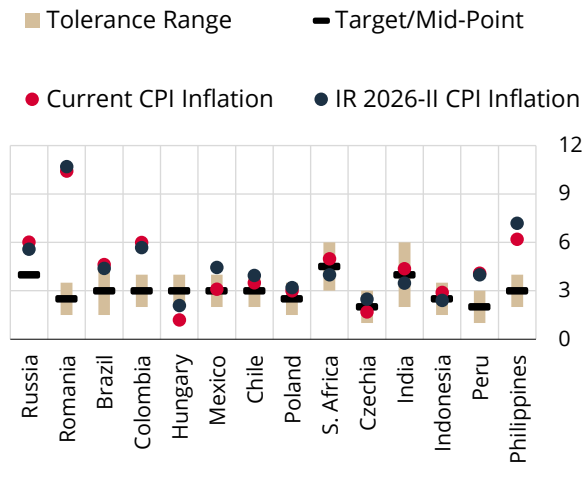
Both realized and expected inflation rates continued to rise on a global scale. Energy prices, which fluctuated throughout the reporting period, remain influential on global inflation and inflation expectations. Declining energy prices in June have led to a drop in inflation rates in advanced economies. As of June, headline inflation declined to 3.5% in the US and 2.8% in the euro area. As for emerging economies, divergences across countries continue. During this period, inflation forecasts were revised upward in both country groups, albeit to a more limited extent in advanced economies (Chart 2.1.5). That said, headline inflation increased in many countries compared to the previous reporting period, and in some countries, it remained above the target and outside the tolerance range (Chart 2.1.6). The deterioration in the global inflation outlook may continue due to the ongoing strains in oil and gas supply driven by the war as well as due to the indirect effects on food prices and output costs. This may also lead to a rise in the current relatively moderate rates of core inflation through the second-round effects.

Chart 2.1.5: Global Inflation and Forecasts for 2026 (GDP-Weighted, Annual, %)



Source: Bloomberg.

Chart 2.1.6: Consumer Inflation in Emerging Economies (%)

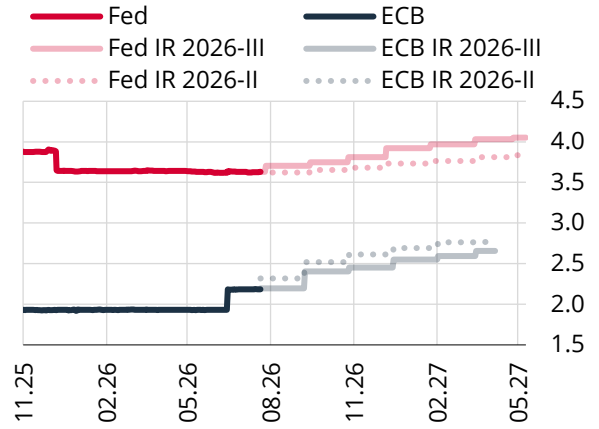


Source: Bloomberg.

As inflationary risks persist, expectations for tighter monetary policy on a global scale have strengthened. While the Fed kept the policy rate unchanged in June and July, markets have been pricing a stronger probability of rate hikes by Fed in 2026. The market-implied policy rate path has shifted significantly upward. On the other hand, for the ECB, which raised its policy rate in June, the change in market-implied policy rate path remained limited (Chart 2.1.7). In addition, the Fed's decision to abandon its forward guidance strategy has increased monetary policy uncertainty in the US. As for central banks from other advanced economies,

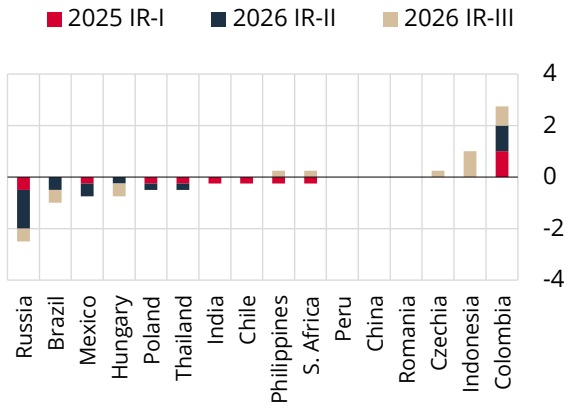
during the reporting period, Bank of Israel cut its policy rate by 50 basis points, while Bank of Japan, the Reserve Bank of New Zealand, Bank of Korea, and Danmarks Nationalbank each raised their policy rates by 25 basis points with emphasis on inflationary pressures. During this period, divergences across countries persisted in emerging market economies, yet the number of central banks raising rates increased (Chart 2.1.8). Magyar Nemzeti Bank, Banco Central do Brasil and the Bank of Russia each cut the policy rate by 50 basis points, whereas Bank Indonesia raised the policy rate by 100 basis points, the Central Bank of Colombia by 75 basis points, and Czech National Bank, South African Reserve Bank, and the Bangko Sentral ng Pilipinas by 25 basis points each. Meanwhile, People's Bank of China continued to take monetary easing steps to support growth, accompanied by its communication for a milder path of monetary policy. Central banks of emerging economies also continued to emphasize the war-related risks in their communication. While some central banks that already completed their rate-cut cycles remain on hold, rate-cutting central banks state that they will proceed with caution and monitor the developments. Compared to the period before the war, expectations for weaker growth and higher inflation on a global scale stand out (Zoom-In 2.2). However, if the period of uncertainty extends and changes in energy prices become more lasting, further monetary tightening may be necessary to anchor inflation expectations and keep second-round effects under control.

Chart 2.1.7: Policy Rates and Market-Implied Policy Paths (Effective, %)



Source: Bloomberg.

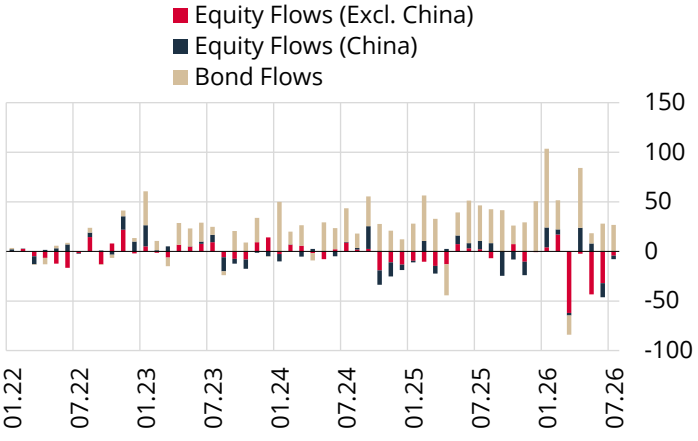
Chart 2.1.8: Policy Rate Changes in Emerging Economies (% Points)



Source: Bloomberg.

Portfolio outflows from emerging economies were observed as global uncertainty remained elevated. Across the reporting period, equity markets mostly saw portfolio outflows, whereas bond markets mostly recorded portfolio inflows (Chart 2.1.9). These outflows appear to be concentrated in South Korea and Taiwan, where strong profit-taking sales were recorded in the artificial intelligence and chip sectors. Monetary policies of advanced economies in the coming period may be influential on portfolio movements. Possible tightening steps have the potential to affect the global risk appetite.

Chart 2.1.9: Portfolio Flows to Emerging Economies
(Monthly, USD Billion)



Source: IIF.